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Oil

The crisis is temporary, the oversupply is not

17 MARCH 2026

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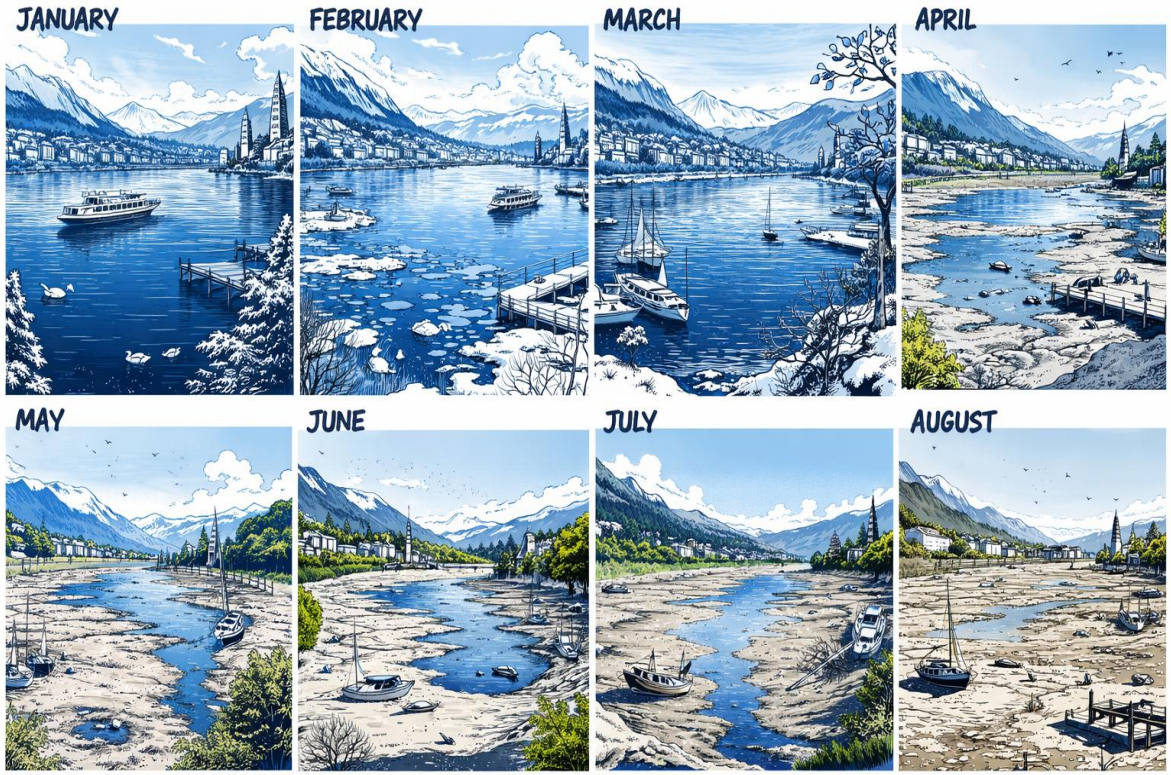
Bottom line

The Iran situation has sent oil above USD 114 a barrel but take away the geopolitics and the underlying market is still deeply oversupplied. When Hormuz reopens, the bear case could snap back hard.

Visualizing global oil production by draining Lake Zurich

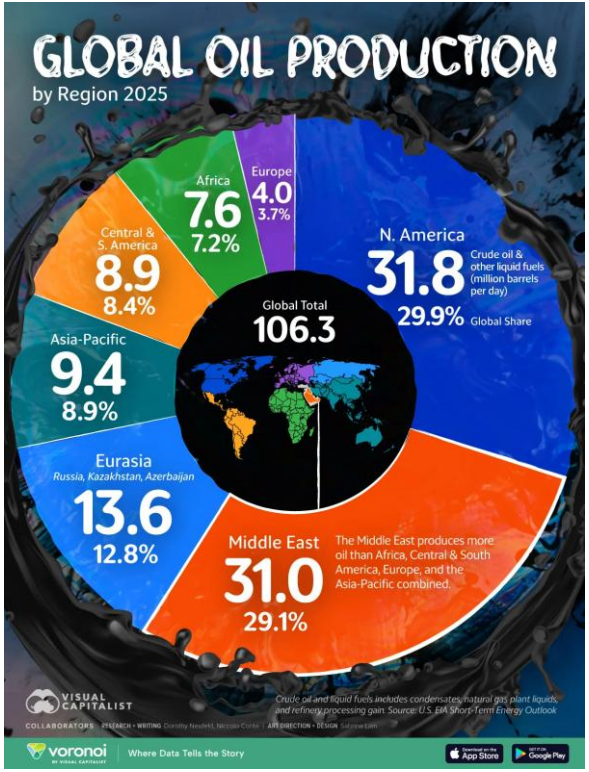
- **1 barrel of oil: 159 litres**
- **Global production: ~104m bls/day**
- **Daily production: ~16.5bn litres/day**
- Volume of Lake ZH: 3.9 km³ = 3.9tn litres
- Time to empty Lake ZH: ~236 days

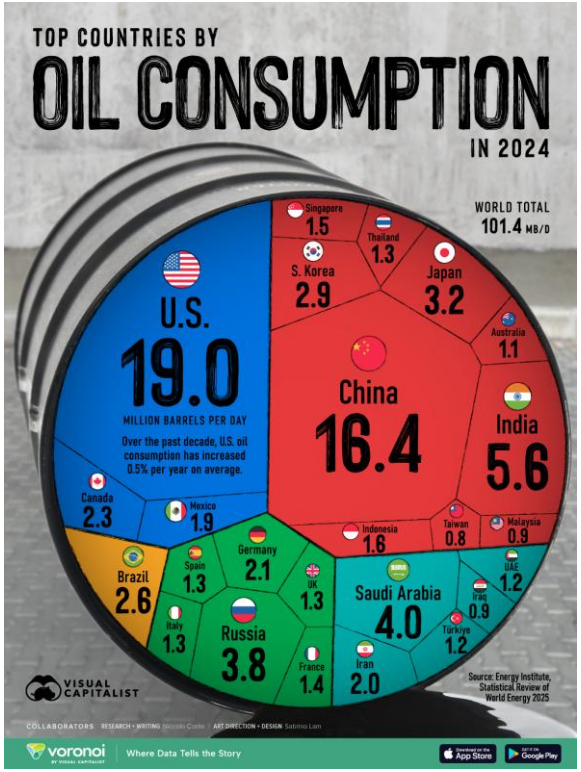
- Volume of Lake Geneva: 89bn litres
- Time to empty Lake Geneva: ~14.8 years
- Lake GE vs. Lake ZH: ~23× more water



2 litres a day keeps the market in play

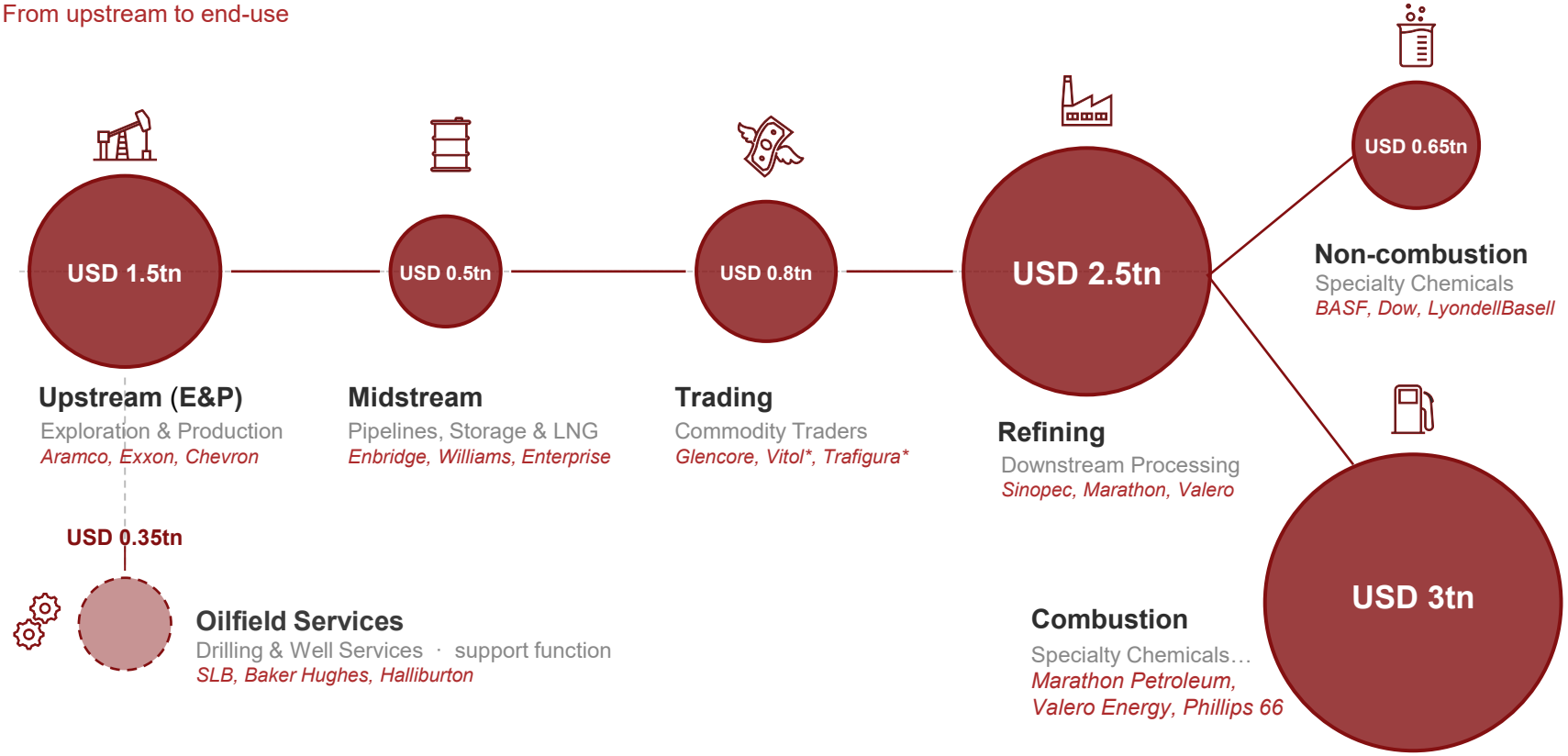
Oil remains the world's largest, most strategic, and most weaponised commodity system



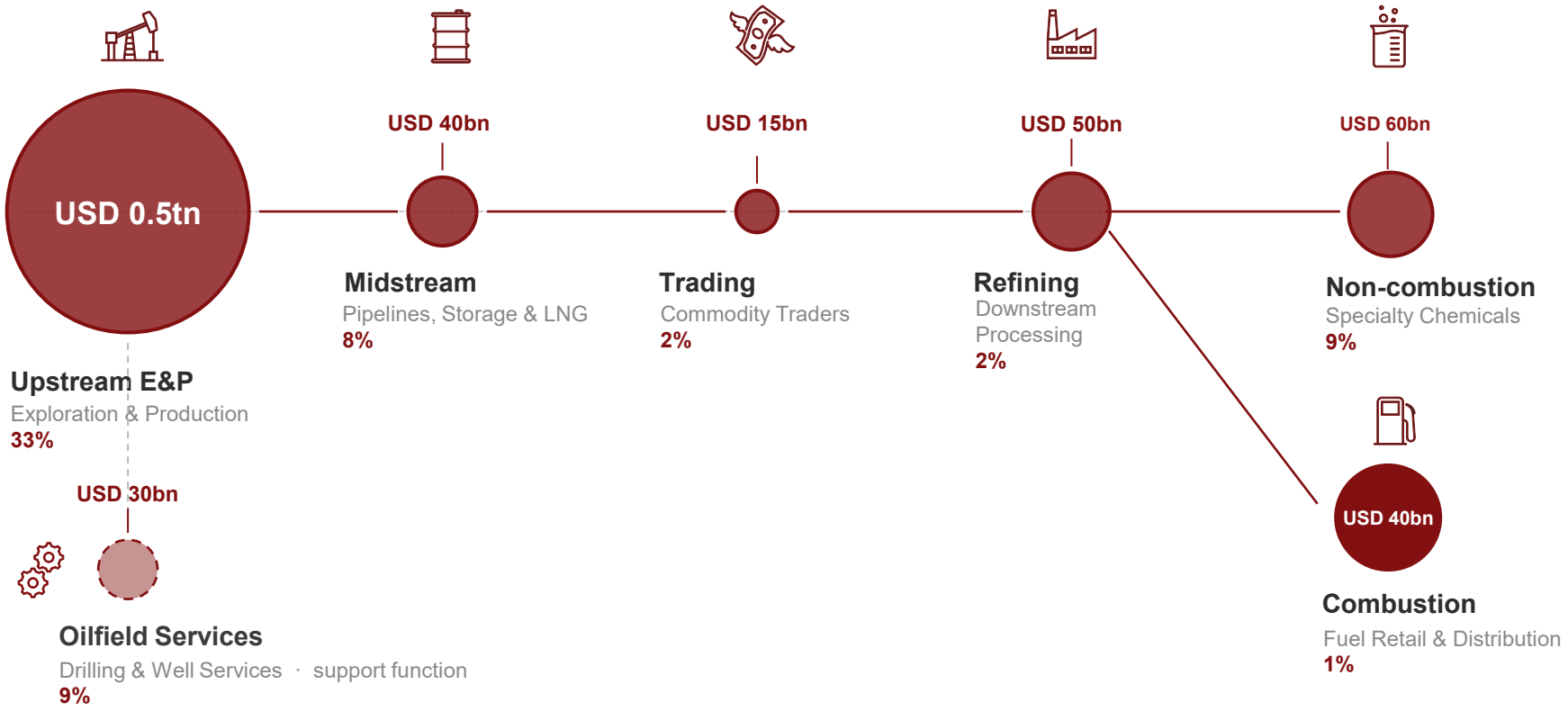


The value chain, by revenue (≈USD 9.5tn)

From upstream to end-use

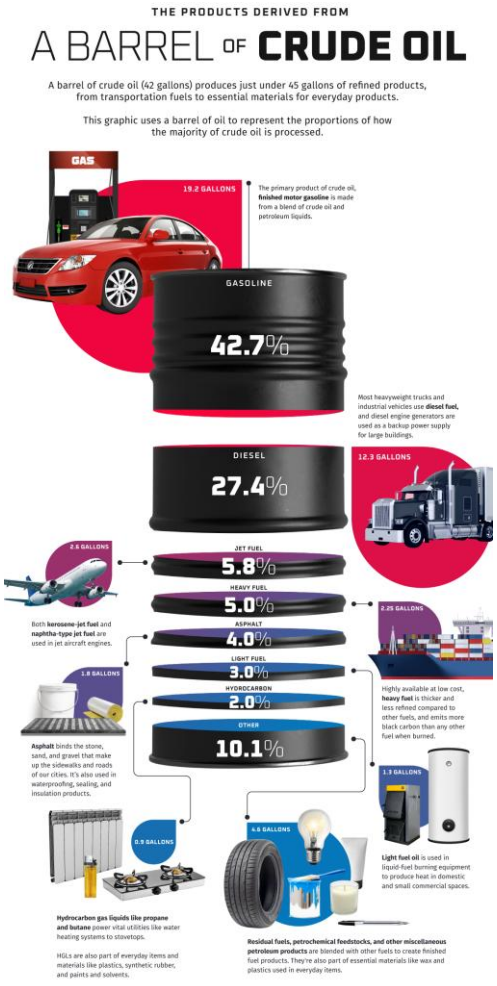


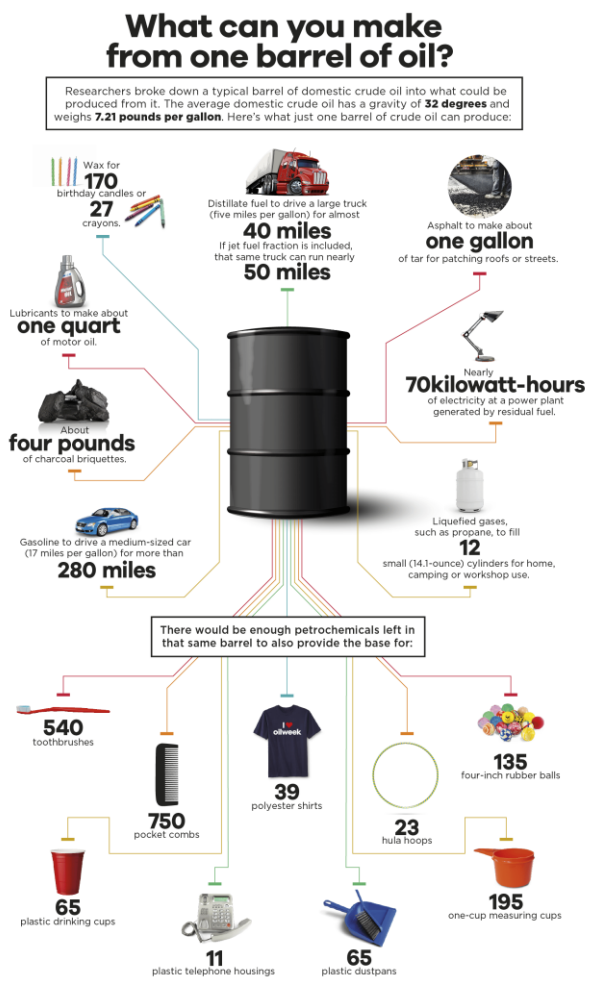
The value chain, by profit (≈USD 0.75tn)



Most of the barrel is burned. The rest builds the modern world

- A single 159-litre barrel yields gasoline, diesel, jet fuel, and heating oil but also plastics, fertilizers, pharmaceuticals, textiles, and asphalt.
- The public debate frames oil as a fuel problem. Petroleum derivatives are embedded in virtually every supply chain: food packaging, medical devices, electronics, construction, clothing.





Non-combustion demand is structurally inelastic and growing

COMBUSTION · ~88%

Diesel
Road transport, rail, heating

Gasoline
Passenger vehicles

Jet Fuel
Aviation — no electric alternative at scale

Bunker Fuel
Shipping (~90% of world trade by volume)

Heating Oil
Residential & industrial heat

CRUDE OIL

NON-COMBUSTION · ~12% · INELASTIC

Fertilizers
Haber-Bosch · feeds ~4bn people · Russia #1 exporter

Plastics
14 mb/d equiv · medical, packaging, construction

Pharmaceuticals
APIs derived from benzene, toluene, xylene (BTX)

Synthetic Rubber
All tyres incl. EVs — heavier EVs = more wear

Helium
Semiconductors, MRI, quantum · ~25–30% from Qatar

Carbon Fibre
Wind turbines (70% by wt.), EV structures, aerospace

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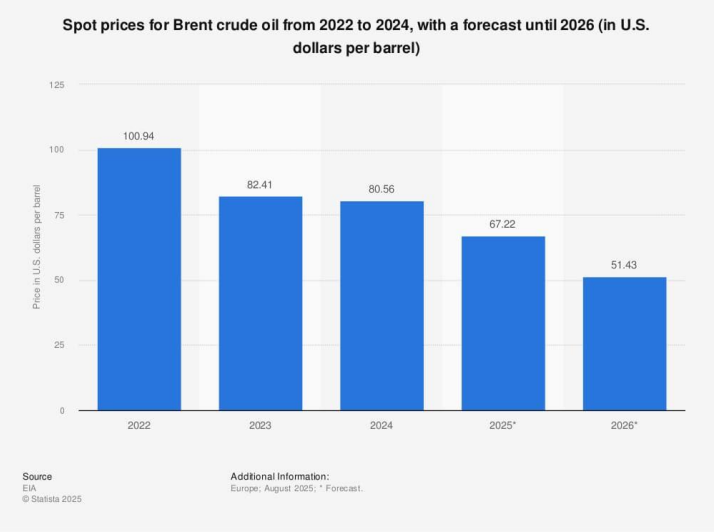
The economical impact

It isn't always easy to make predictions…

- In early 2026, Brent was drifting toward USD 58, the consensus called it structural oversupply.
- By March 9, Brent hit USD 114 after the Strait of Hormuz closed to tanker traffic. Every barrel forecast was torn up overnight



OPEC cut, OPEC+ cheated, the Americas kept drilling

- OPEC (13 members) sets quotas. OPEC+ (23 nations, adding Russia, Kazakhstan et al.) was built to enforce discipline but compliance fell to 85% by Q1 2025, with 2.1 mb/d overproduced.
- Meanwhile, the "Americas quintet"; US, Brazil, Canada, Guyana, Argentina kept drilling unconstrained.

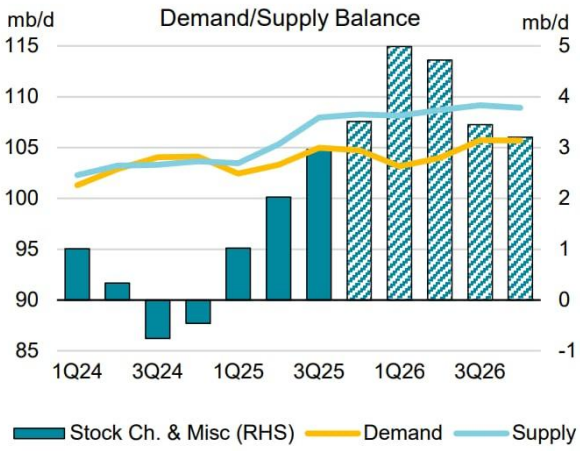
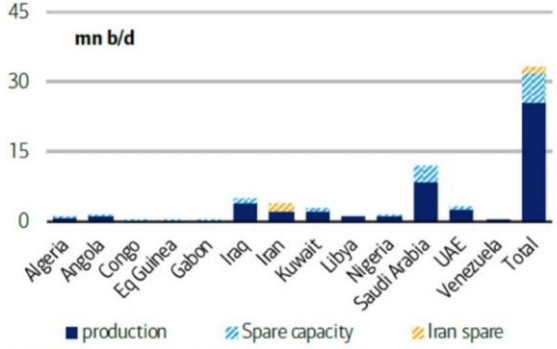


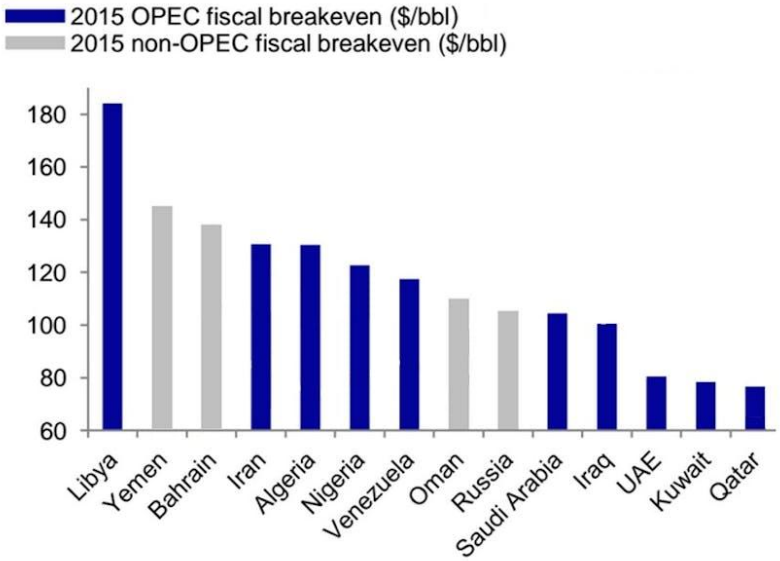
Exhibit 10: OPEC production and spare capacity
OPEC still has 8 mn b/d of spare capacity after multiple downward output adjustments

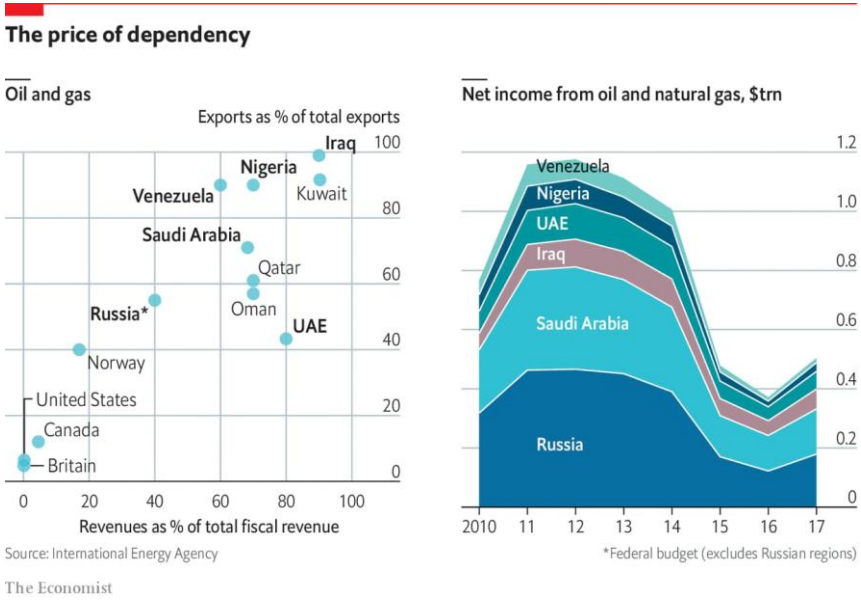


Source: IEA, BofA Global Research estimates

Everyone needs to pump, few can afford to

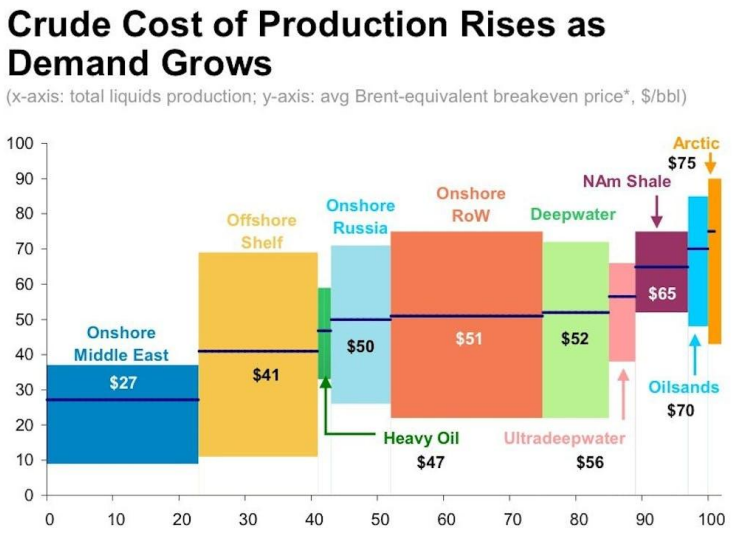
- Most OPEC members need oil above USD 80 just to balance their budgets. Saudi Arabia's fiscal breakeven has risen to USD 96/bbl, driven by Vision 2030 mega-projects yet Brent spent most of 2025 below USD 65.
- The paradox: producers must keep pumping to fund deficits, but every extra barrel pushes the price further below breakeven. Russia, Iraq, Algeria, and Bahrain all face the same trap
- When Hormuz closes, the maths flips: producers sell less at far higher prices, war is a blessing in disguise. Saudi Arabia finally covers its fiscal breakeven while pumping less



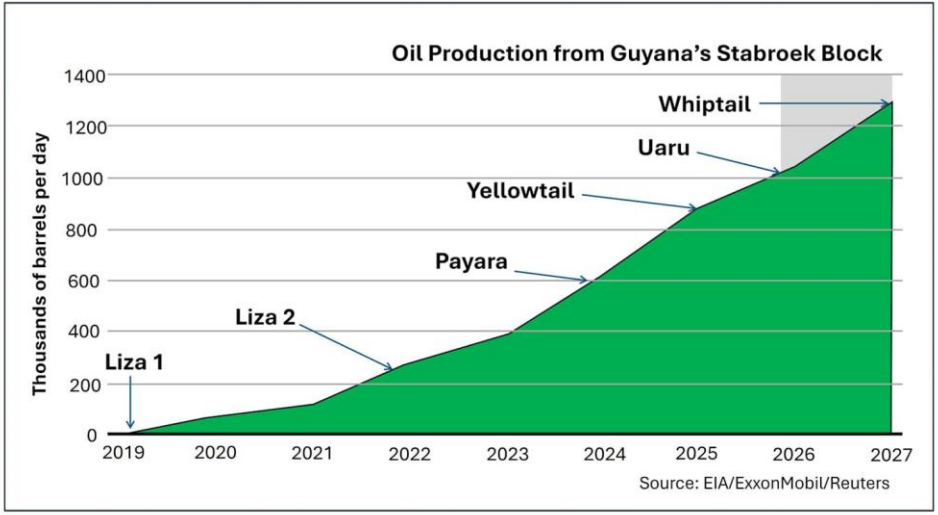


Until a crisis reprices every barrel overnight

- The cost curve shows that Middle East onshore barrels can be extracted for USD 27, while Arctic and oil-sands need USD 70–75. In a surplus world, low-cost producers survive; high-cost barrels get priced out.
- Guyana: zero to 900k b/d in five years, crossing 1 mb/d by 2027. OPEC+'s share fell from 53% (2016) to 46% (2025)



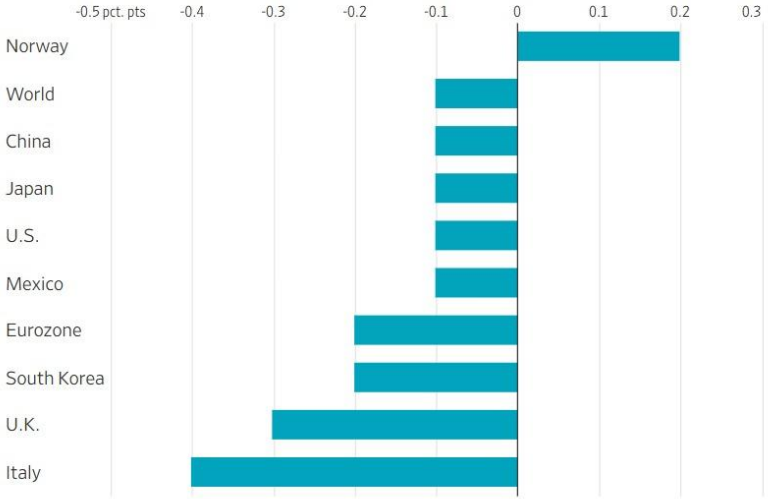
Source: Rystad Energy, Morgan Stanley Commodity Research estimates



The Iran premium is not priced evenly

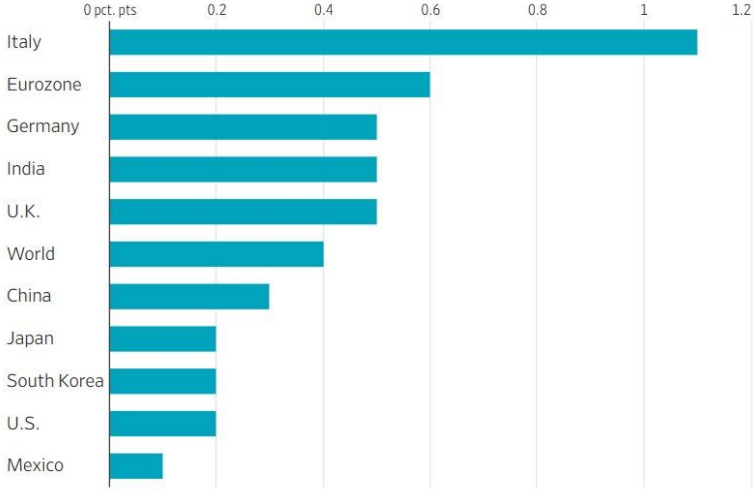
Oil-import-heavy economies; South Korea, the Eurozone, Japan absorb the sharpest GDP drag from a Hormuz-driven supply shock.
Norway gains; everyone else pays and the inflation pass-through is fastest where energy still dominates the CPI basket

Estimated impact on growth from Iran conflict



Note: Change in gross domestic product this year, based on Brent crude averaging $80 a barrel in the second quarter and falling to around $60 by year-end.
Source: Oxford Economics

Estimated inflation impact of Iran conflict



Note: Change in consumer-price indexes this year, based on Brent crude averaging $80 a barrel in the second quarter and falling to around $60 by year-end.
Source: Oxford Economics

The barrel is priced in USD, and that changes everything

- ~80% of global oil is invoiced in USD. Every barrel sold creates dollar demand, recycles into Treasuries, and transmits oil shocks into global financial conditions.
- De-dollarisation is real at the margin: the USD's reserve share fell from 71% to 57% since 1999 but the plumbing remains dollar-based

1. **Oil Sale**
   Producer sells crude
2. **USD Invoicing**
   ~80% priced in dollars
3. **Reserve Accumulation**
   Central banks hold USD
4. **Treasury Recycling**
   Petrodollars buy US debt
5. **Macro Transmission**
   Inflation, rates, FX, growth

St. Louis Fed: Oil↔PPI correlation = **0.71** Oil↔CPI = **0.27**

RBC: sustained $100/bbl keeps US headline CPI above 3% through 2026

Sources: BIS Bulletin 74, IMF WP/2025/178, FRED, US Treasury TIC, Dallas Fed, RBC

Oil shocks, inflation, rates & recession risk

1973 OPEC embargo Oil 4× → CPI → 12.3%
Fed funds → 13% → **Recession 1973–75**

1979 Iran revolution Oil 3× → CPI → 13.5%
Volcker → 20% → **Double-dip recession**

1990 Gulf War Oil +130% → CPI → 6.3%
Fed held 8% → **Recession 1990–91**

2008 Supercycle peak Oil → $147 → CPI → 5.6%
Fed cut to 0% → **GFC, deep recession**

2022 Russia-Ukraine Oil +65% → CPI → 9.1%
Fed hiked to 5.5% → **Soft landing (so far)**

2026 Hormuz crisis Oil +50% in 10d → CPI → ?
Fed on hold at 4.5% → **Stagflation risk**

The pattern: oil spike → inflation → rate hikes → demand destruction → recession
When rates can't tame supply-driven inflation, you get stagflation; the 1970s playbook, now back in focus

What consumers pay in taxes

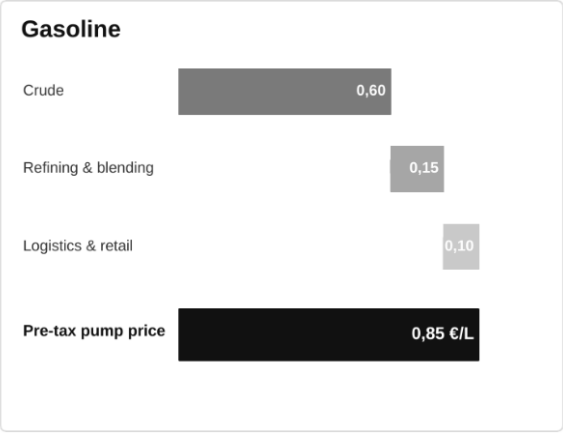
Governments tax fuel heavily and the higher the base price, the more they collect

Taxes pile up

- Excise duty (fixed per litre)
- Carbon charges (where applicable)
- VAT

Key takeaway

- VAT is a % of the total. So, when crude rises, the pre-tax price rises, and VAT rises with it. Higher pump prices = higher tax revenue
- In Europe, taxes are typically 50–65% of what you pay. In the US, closer to 15–20%



Country	Approx. Tax per Litre (Petrol)	Tax as % of Pump Price
UK	~£0.80–0.85 (duty 52.95p + VAT 20%)	~53%
France	~€0.85–0.90 (TICPE ~€0.65 + VAT 20%)	~55–60%
Switzerland	~CHF 0.73 (mineral oil tax + surtax)	~45–50%
United States	~$0.57 federal + state average	~20–25% (much lower than Europe)

Switzerland's hidden oil industry

A small group of largely private trading houses, based overwhelmingly in Geneva and Zurich, moves more oil daily than most OPEC members produce

- Vitol, Trafigura, and Gunvor show how value accrues in **intermediation** rather than production alone
- Traders monetise opacity, optionality, logistics, sanctions complexity, and timing; generating **>$50B combined profit in 2022–23**
- US DOJ hit multiple Swiss traders in 2024: Gunvor ($661M), Trafigura ($127M), following Glencore and Vitol

Trader	Revenue (2024)	Net Profit	Traded Volume	Listed?
Vitol	USD 331bn	~USD 8–8.5bn	7.2 mb/d crude + products	Private (~500 employee-shareholders; USD 10.6bn buybacks 2024)
Trafigura	USD 243bn	USD 2.8bn	537mt oil equivalent	Private (~1,400 employee-shareholders)
Gunvor	USD 136bn	USD 729m	232mt total	Private; founder Törnqvist departed after US Treasury "Kremlin puppet" label
Mercuria	~USD 110–118bn	USD 1.3–2.1bn	Not disclosed	Private; co-founders Dunand and Jaeggi, Geneva
Glencore	Diversified	USD 3.7bn adj. EBIT (marketing)	~6 mb/d crude equivalent	LSE listed (GLEN)

Sources: Company reports, Bloomberg, DOJ press releases, UNCTAD. Mercuria FY = Oct–Sep. Gunvor MBO completed Dec 2025.

Bribes, buyouts and billion-dollar paydays

The oil trading world's soap opera, 2024–26

- **Vitol's quiet fortunes:** ~600 partners shared $20B over three years: avg. $17.5M each in 2023. Culture? "No one was flashy."
- **Gunvor dumped its founder:** The US called Gunvor "Kremlin's puppet." Weeks later, CEO Tornqvist was out, 60 employees bought his 86% stake. Cost to settle bribery charges? $661M
- **Trafigura — from convicted to connected:** In 2024, pled guilty to bribing Petrobras ($127M). Staff in Mongolia hid $1.1B in bad debts. Yet by Jan 2026, the new CEO met Trump at the White House and secured a rare US licence to export sanctioned Venezuelan crude
- **Containers full of rocks:** Trafigura paid $600M for nickel shipments. The cargoes turned out to be fake. The accused supplier says Trafigura's own executives knew all along
- **A clean sweep:** Vitol, Glencore, Trafigura, Gunvor, the DOJ systematically prosecuted every major Swiss oil trader for foreign bribery. All four convicted or settled

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Oil Giant Vitol Hands Record $10.6 Billion Payout to Its Traders

July 28, 2025 - 22:58 3 minutes

(Bloomberg) — Vitol Group handed a record $10.6 billion to its executives and senior staff through share buybacks last year, as the fallout of the energy crisis continued to deliver extraordinary riches to the world's commodity traders.

The share repurchase — almost certainly the highest such payout in the industry's history — means privately held Vitol has distributed over $31 billion to its partners in the past decade, according to the company's audited annual accounts seen by Bloomberg News.

Research

- We have developed a workflow to produce research on any given topic (work in progress).
- This specific one is 30 pages long, in Cape' format. Happy to share.

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Appendix

The big oil divide

Europeans talked transition loudest but retreated fastest. Americans never pretended and the market rewarded them

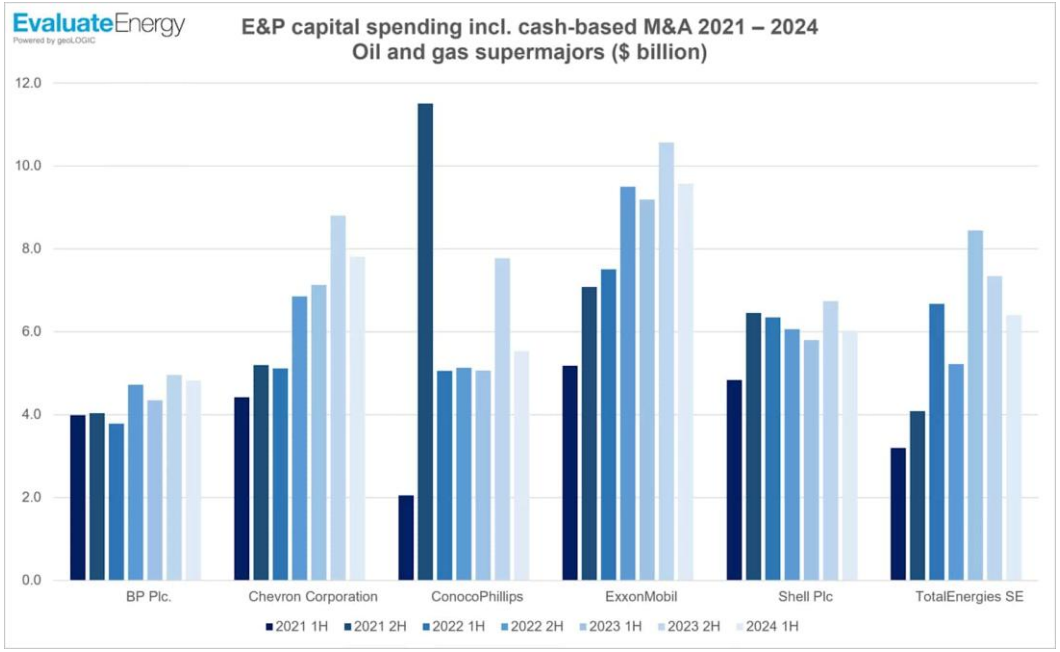
European and American oil majors talk the same language but play very different games

The European retreat

- BP pledged net-zero in 2020. By 2025 it raised oil spend to $10.5 bn/yr and cut clean energy by $5 bn+
- Shell froze renewables spend; Equinor halved its low-carbon budget
- BP's share price fell so far it became a takeover target in 2025

The American bet

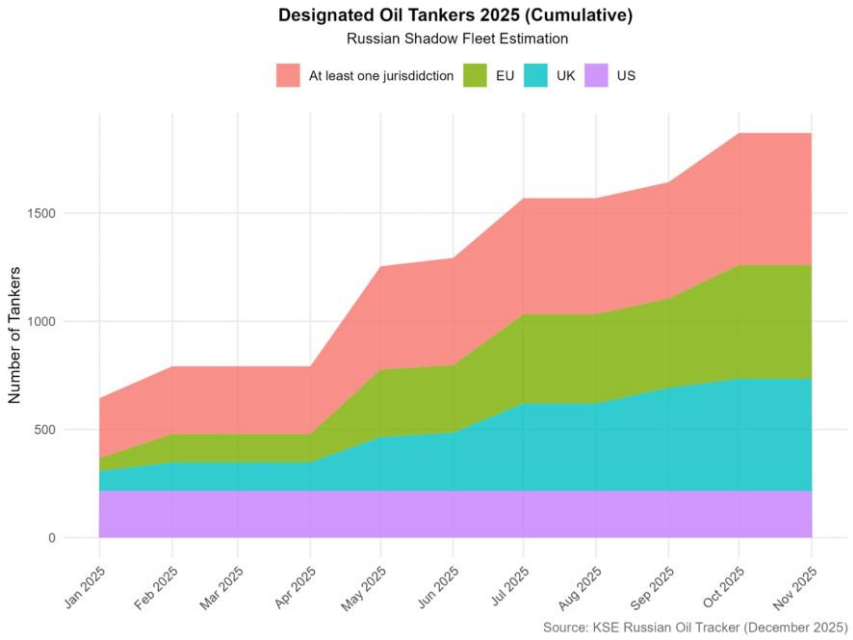
- Exxon never chased wind/solar. Stock soared 70%+ since 2019
- Now plans $30 bn in CCS/hydrogen to 2030 — not wind, not solar
- $194 bn in US shale deals since mid-2023

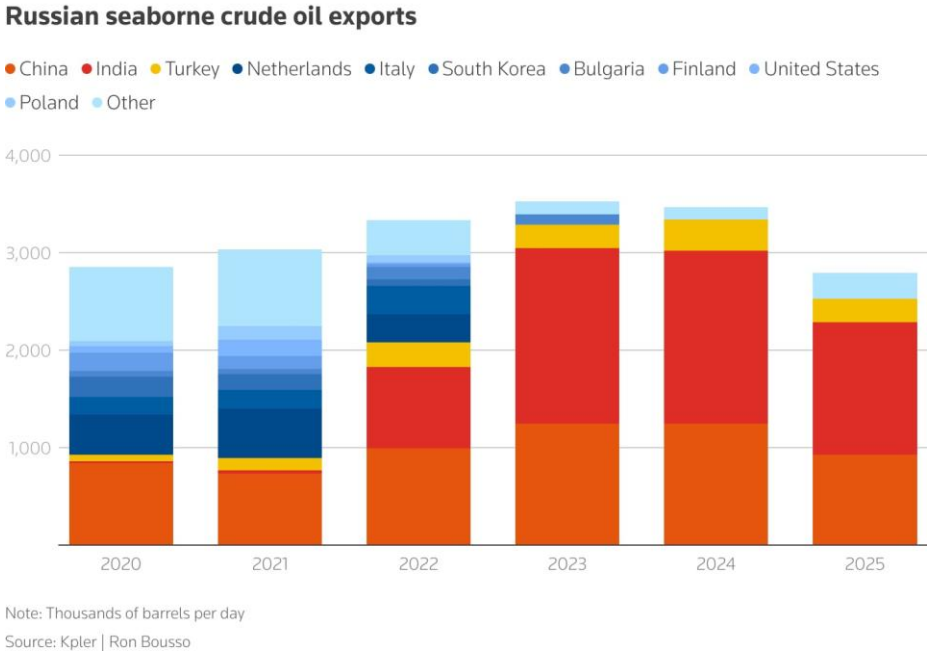


Sanctioned but still pumping

Russia, Iran and Venezuela use shadow fleets to keep oil flowing despite Western sanctions

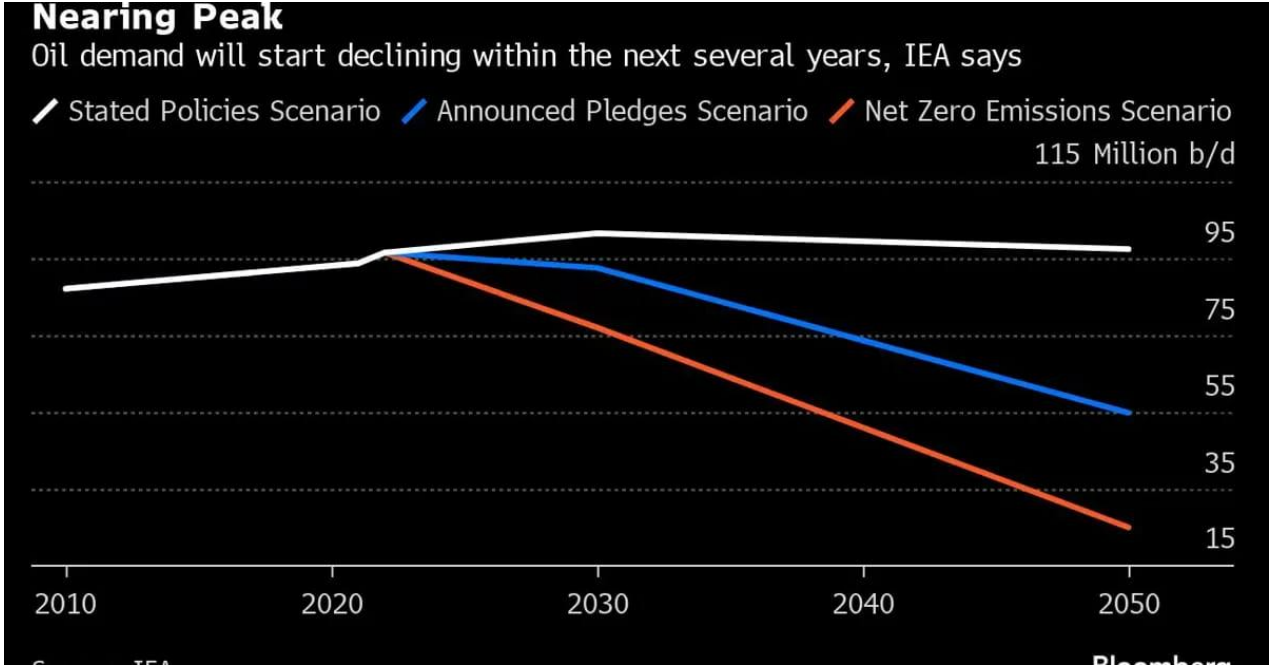
Russia specifically: 978 shadow tankers (~18.5% of the global fleet) carry sanctioned crude. Oil still funds 30% of its budget. The West sanctioned 900+ vessels in 2025 alone yet the fleet keeps growing through renaming, reflagging and shell-company transfers.





The boy who cried “peak”

Peak oil has been “just around the corner” for over a century and the world has stopped listening



A timeline of wrong calls

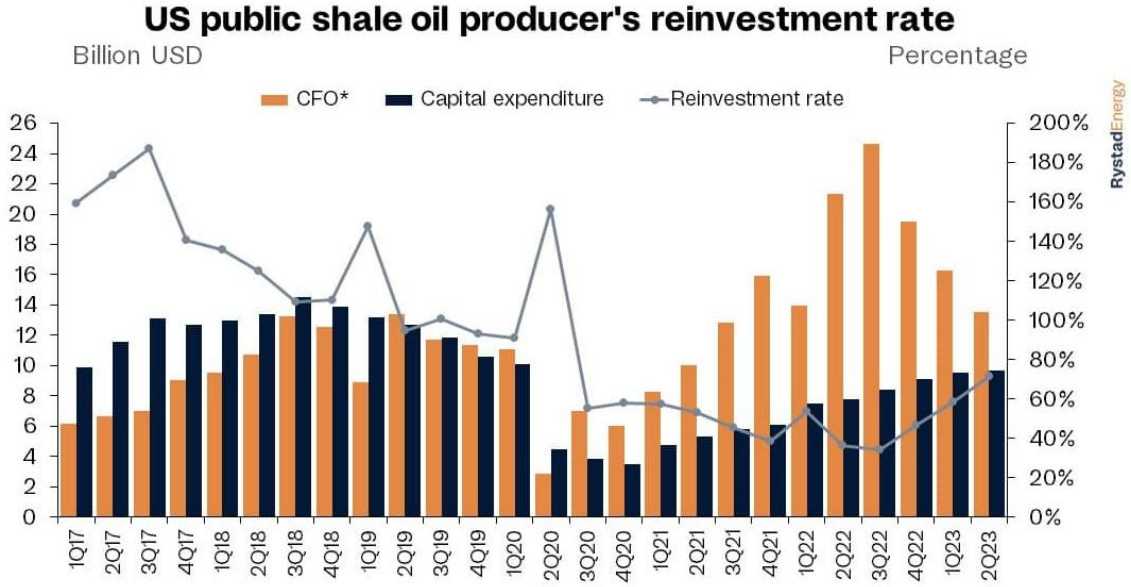
- 1880s: US experts predicted Pennsylvania fields would kill the industry
- 1956: Hubbert predicted US peak by 1970. Seemed right for 38 years, then shale shattered it
- 1998: “End of Cheap Oil” paper forecast global peak by 2004–05
- 2020: BP said we had already hit peak demand. Wrong: 2023 set a new all-time high at 101.7 M bpd

Why it never sticks

- Technology keeps unlocking new supply (fracking, deepwater, pre-salt)
- Developing nations keep growing; today IEA says peak demand by ~2030, OPEC says not before 2045
- The cry has been heard so often that nobody is scared anymore which may be the real risk

Shale: a different beast

Unconventional oil and gas obeys different rules: faster to ramp, faster to die



*Cash flow from operations. Peer group of 18 public shale oil producers = ~40% of total output.
Source: Rystad Energy's Shale Solution, August 2023
A Rystad Energy graphic

How shale differs

- Conventional field: decades from discovery to first oil. Shale well: months. But output can fall 65% in year one
- If all shale investment stopped, US production would drop 35%+ within 12 months (IEA)
- Prices hit shale harder and faster than conventional. Short lead times mean output reacts to price in real time

Scale and dominance

- The US accounted for 90% of global supply growth from 2015–2024, adding 8+ M bpd via shale (IEA)
- US holds just 4% of proven reserves but is the world's #1 producer (20% oil, 25% gas)

What's ahead

- As US shale growth slows, supply power shifts back to Middle East supergiants with slower-declining conventional fields

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